



Pensions Sector Report

for the Year Ended 31 December 2023

Table of Contents

1.	Executive Summary.....	5
2.	Key Performance Indicators- 31 Dec 2023.....	7
3.	Economic Overview.....	9
4.	Regulatory Developments.....	12
5.	Registered Pension Funds.....	14
6.	Assets	17
7.	Income.....	20
8.	Expenditure.....	20
9.	Forex Assets.....	20
10.	Forex Income.....	22
11.	Pension Fund Administrators.....	23
12.	Market Conduct.....	26
13.	Unclaimed Benefits.....	26
14.	Suspended Pensioners.....	28
15.	Non- resident Pensioners.....	29
16.	Commutations.....	30
17.	Complaints.....	31
18.	Anti-Money Laundering and Combating the Financing of Terrorism and Proliferation Financing.....	32
19.	ANNEXURES.....	34

List of Tables

Table 1: Key Performance Indicators	7
Table 2: Circulars Issued as at 31 December 2023.....	12
Table 3: Approved Prescribed Asset Instruments during the Year to 31 December 2023	13
Table 4: Distribution of Funds Administered by Type of Administration Model	15
Table 5: Fund Transfers to Umbrella Fund	16
Table 6: Membership Classes as at 31 December 2023	17
Table 7: Gold Coin Investments	19
Table 8: Gold Backed Digital Tokens	19
Table 9: Contribution Arrears Age Analysis	21
Table 10: Key Indicators	23
Table 11: Sources of Income for Administrators	23
Table 12: Major cost drivers for fund administrators	24
Table 13: Administrators' Administration Fees	24
Table 14: Administrators' Forex Business	25
Table 15: Independent Administrators' Asset Distribution	25

List of Figures

Figure 1: Asset Composition	18
Figure 2: Foreign Currency Assets	22
Figure 3: Trend of Unclaimed Benefits	26
Figure 4: Distribution of Unclaimed Benefits by Model of Administration	27
Figure 5: Unclaimed Benefits Age Analysis	27
Figure 6: Suspended Members Across all the Administration Models	29
Figure 7: Cumulative Benefits due to Non-Resident Pensioners	29
Figure 8: Distribution of Commutations by Type	30
Figure 9: Distribution of Commutation by Purpose	30
Figure 10: Nature of Complaints	31

A close-up, portrait-oriented photograph of a middle-aged Black man with a friendly smile. He is wearing a white dress shirt and a grey patterned tie. He is seated at a desk, with his hands resting on some papers. The background is softly blurred, showing what appears to be a bookshelf or office environment. The lighting is warm and professional.

Executive Summary

1. Executive Summary

- 1.1. The pensions industry comprised 965 registered occupational pension funds as at 31 December 2023 compared to 981 funds as at 31 December 2022.
- 1.2. The decrease was mainly because of funds whose dissolutions were finalised as well as consolidation of small funds into already existing umbrella funds.
- 1.3. Of the 965 registered funds, 482 were active, constituting 50% of the industry's funds while the remaining 483 were inactive. A total of 389 funds out of the 483 inactive had been earmarked for dissolution. The industry's total membership, including beneficiaries was 967,309 from 953 886 as at 31 December 2022. The increase in membership was mainly attributable to new members joining existing funds during the period under review.
- 1.4. Transfers of assets is taking longer than stipulated in the transfer guideline resulting in dual reporting of members. The Commission is working on measures to ensure that members with benefits in two different funds are not counted twice.
- 1.5. The total industry's assets stood at ZW\$12.18 trillion, which was a nominal increase of 1000% from a value of ZW\$1.11 trillion as at 31 December 2022. In US\$ terms, assets increased from US\$1.6 billion to US\$2 billion during the period under review.
- 1.6. Investment properties amounted to ZW\$6.06 trillion, being 50% of total assets as at 31 December 2023, compared to ZW\$486.23 billion, which was 44% of total assets during the comparative period last year.
- 1.7. Quoted equities amounted to ZW\$2.85 trillion as at 31 December 2023, constituting 23% of total assets compared to ZW\$315.90 billion as at 31 December 2022, which was 28% of total assets and a nominal increase of 600%.
- 1.8. Unquoted equities nominally increased by 454%, from ZW\$73 billion as at 31 December 2022 compared to ZW\$404 billion as at the reporting date.
- 1.9. Prescribed assets nominally increased by 1325% from ZW\$73.84 billion as at 31 December 2022 to ZW\$1.1 trillion as at the reporting date. The Commission continues to enforce industry compliance with the approved value preserving instruments to ensure full compliance with the 20% regulatory threshold.
- 1.10. The total income was ZW\$10.49 trillion as compared to ZW\$705 billion as at prior year reporting period. This translated to a nominal increase of 975%.

1.11. Total expenditure was ZW\$563 billion, with 50% of the total amount going towards administrative expenditure and the other 50% towards benefits payments. Total expenditure growth reflected a nominal increase of 1238% from ZW\$89.5 billion for the same period during the prior year. However, in real terms, total expenditure decreased by 29%.

2. Key Performance Indicators- 31 Dec 2023

2.1. The key performance indicators for the pensions industry are shown in the table below: -

Table 1: Key Performance Indicators

Indicator	Insured Funds	Self-Administered Funds	Stand-Alone Self-Administered Funds	Total
Number of Funds	800	151	14	965
DB	22	10	4	36
DC	778	141	10	929
Active funds	343	126	13	482
Members (Incl Beneficiaries)	367,631	161,062	438,616	967,309
Members (Excl Beneficiaries)	365,877	156,614	418,221	940,712
Share of total membership	38%	17%	45%	100%
Total Income (Billion \$)	3,289.07	3,269.55	3,930.52	10,489.15
Total Contributions (Billion \$)	145.95	301.80	315.63	763.38
Rental Income (Billion\$)	15.64	21.02	112.39	149.05
Investment Income (Billion\$)	3,127.33	2,483.13	3,371.43	8,981.89
Total Expenditure (Billion \$)	128.85	71.66	283.14	483.65
Total Benefits Incurred (Bln \$)	71.73	101.84	105.95	279.52
Expenses/Contributions	39.04%	17.47%	29.97%	22.42%
Expenses/Total Income	3.92%	2.19%	2.41%	2.26%
Total Assets (billion \$)	3,841.67	3,820.91	4,517.31	12,179.90
Total Assets per member	10,228,790	23,967,446	10,064,486	12,380,056
Percentage of Total Assets	32%	31%	37%	100.00%
Prescribed Assets (Billion \$)	362.66	547.00	142.6317	1,052.2961
Prescribed Assets Ratio	9.44%	14.32%	3.16%	8.64%
Contribution Arrears (Billion \$)	40.62	65.72	289.28	395.62

Notes:

1. Total investment income is made up of rental income, dividends, interest on investments, profit on disposal of assets and fair value gains.
2. Total expenditure for the industry includes benefits paid, transfer to reserves, revaluation losses and provisions.
3. Expenses are calculated as total expenditure excluding items such as expenditure on benefits, transfers to reserves and revaluation losses.



Economic Overview

3. Economic Overview

3.1. Introduction

This section presents highlights of the global and regional economic outturn during the year 2023.

3.2. Global and Regional Economic Outlook

According to IMF, the global economy is estimated to have grown by 3% in 2023, which is lower than previously projected, due to the unprecedented tightening of global monetary conditions in response to high inflation. In light of this, global growth prospects are expected to deteriorate in the medium term.

Growth in advanced economies slowed down to 1.5% in 2023, down from 2.6% in 2022. Meanwhile, growth prospects for emerging markets and developing economies are estimated to have fallen slightly, from 4.1% in 2022 to 4% in 2023 and 2024, reflecting a slowdown in Chinese growth. Sub-Saharan Africa's growth is expected to have fallen to 3.3% in 2023, from 4% last year 2022.

3.3. Domestic Economic Outlook

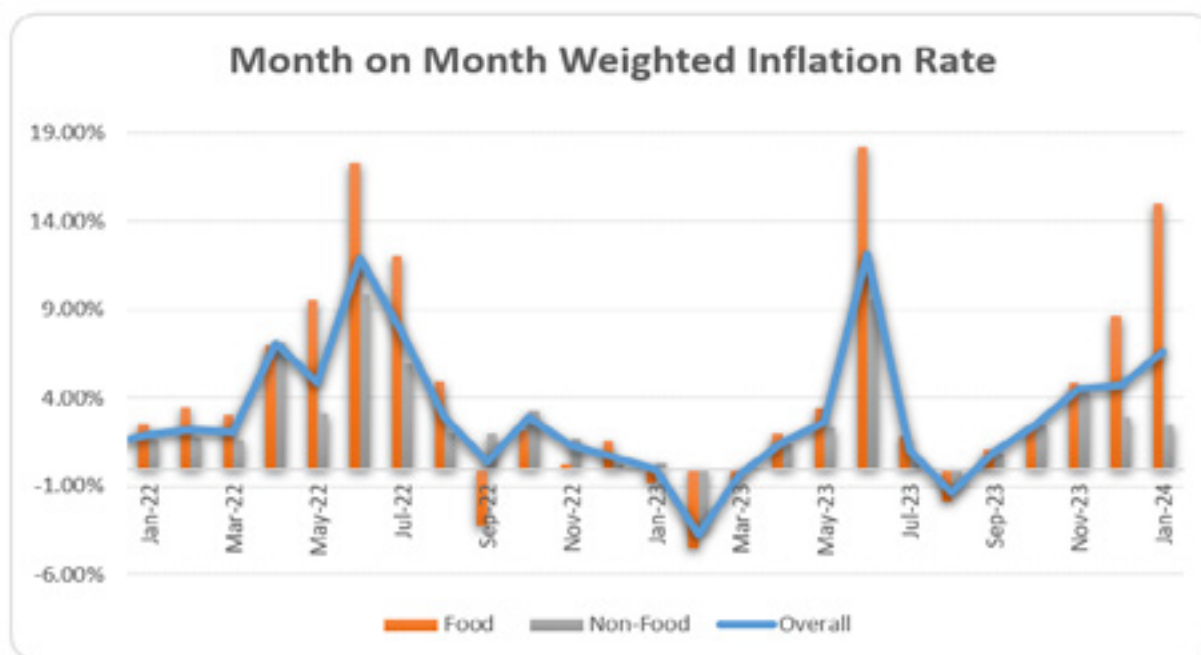
According to the Ministry of Finance, Economic Development and Investment Promotion, the domestic economy grew by 5.5% in 2023, a slight increase from the 5.3% projected in August, owing to higher-than-expected agricultural output, particularly tobacco, wheat, and cotton. Mining (+7.6%) and accommodation and food services (+6.9%) will drive the 3.5% growth in 2024, while agriculture is expected to contract (-4.9%).

3.4. Inflation Developments

Year-on-year inflation closed the year 2023 at 26%. The highest monthly inflation rate for the period was 12.1% recorded in June 2023, whereas the lowest inflation rate was -1.3% recorded in August 2023.

The figure below shows the inflation trend from January 2022 to January 2024.

Figure 1: Inflation Profile (%) Jan 2022 to Jan 2024



Source: RBZ

3.5. Stock Market Developments

The ZSE recorded a total market turnover of ZW\$109 billion as of year-end 2023, a 295% increase from ZW\$27.8 billion in the previous year. The market capitalisation gained 723% from ZW\$2.04 trillion in December 2022, to close the year at ZW\$16.8 trillion. The ZSE All-Share Index gained 982% from 19,494.85 points in 2022 to close at 210,833.92 points in 2023.

3.6. Victoria Falls Stock Exchange Market

The VFEX All-Share index fell 41% from 99.07 points in December 2022 to 70.48 points at the end of the year 2023. The VFEX market capitalisation gained 113% from the previous year to close at USD 1.2 billion.



Regulatory Developments

4. Regulatory Developments

4.1. The Insurance and Pensions Commission issued 15 circulars, specifically for the pensions industry in 2023. These circulars were targeted at guiding and informing the industry of the latest developments and regulatory expectations in pension fund governance and administration.

4.2. The table below shows the circulars issued to the industry in 2023.

Table 2: Circulars Issued as at 31 December 2023

Document	Issue date	Content
Circular 1 of 2023	10 January	Assessment of annual reporting requirements
Circular 2 of 2023	27 January	Request for information on Board of funds and terms of office
Circular 4 of 2023	16 February	Compliance with section 64(4) of the Pension and Provident Funds Act Relating to Compliance of Fund Rules to the Act
Circular 5 of 2023	17 February	Interim measures pending Gazetting of 2009 compensation regulations
Circular 6 of 2023	3 March	Call for Comments on the Micro-pension's Framework
Circular 8 of 2023	16 March	Annual publication of Financial Statements
Circular 10 of 2023	08 March	Issuance of the directive for the Insurance and Pensions industry on Equities and Properties Valuations
Circular 18 of 2023	14 June	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2023 and Insurance (Amendment) Regulations, 2022
Circular 27 of 2023	6 September	Micropensions Framework
Circular 31 of 2023	16 November	Submission of 2009 Compensation schemes
Circular 35 of 2023	11 December	Holding of annual general meetings by registered funds
Circular 36 of 2023	13 December	Renewal of registration licence by Fund administrators
Circular 37 of 2023	14 December	Guideline on Post Retirement Products and reregistration.
Circular 38 of 2023	18 December	Guidance on Data Transfers Between Fund Administrators
Circular 39 of 2023	19 December	Call for input on Proposed Exposure Limits to the Guaranteed Funds

Prescribed Assets

- 4.3. A total of 18 applications were conferred prescribed asset status by the Minister of Finance, Economic Development and Investment Promotion in 2023.
- 4.4. The instruments that were approved during the year are listed in the table below: -

Table 3: Approved Prescribed Asset Instruments during the Year to 31 December 2023

Issuer	Amount (millions)	Purpose	Date Approved
African Century	USD\$15	Onward lending	17-Jan-23
Pure Oil	USD\$5	Manufacturing	20-Mar-23
Centra West	USD\$42.5	Power generation	24-Mar-23
ZEIPF	USD\$6.5	Infrastructure development	24-Mar-23
DATVEST	USD\$7.5	Development of stands	24-Mar-23
WestProp	USD\$30	Infrastructure development	23-Apr-23
IDBZ-Rooiport	USD\$4.9	Development of stands	25-Apr-23
First Mutual Wealth	US\$5.6	Infrastructure development	22-May-23
Agrowth-Debenture	US\$10	Agriculture Financing	26-May-23
AFC-Agrobills	US\$20	Agriculture Financing	29-May-23
	ZW\$8500	Agriculture Financing	
Stratus and Partners	US\$50	Agriculture Financing	29-Jun-23
Harvest Capital	US\$100	Agriculture Financing	31-Jul-23
Revitus-Reit	US\$11.88	Infrastructure Financing	08-Sep-23
Sandawana Mine	US\$200	Mining sector development	06-Nov-23
Stream walk	US\$39.6	Infrastructure development	17-Nov-23
AFC Agrobills	US\$30.04	Agriculture- Financing	20-Dec-23
Agrowth-Debenture	US\$3.5	Agriculture Financing	21-Dec-23
ZB Agrobills	US\$5	Agriculture Financing	21-Dec-23

- 4.5. A total of 15 applications were approved between January and December 2023.
- 4.6. The approved prescribed assets present an opportunity for the industry to diversify its portfolio whilst at the same time complying with the minimum requirement. The industry is, therefore, urged to invest in projects or financial instruments that suit their investment objectives.

5. Registered Pension Funds

- 5.1. There were 965 registered occupational pension funds as at 31 December 2023 compared to 981 funds as at 31 December 2022.
- 5.2. The decline was mainly attributed to 17 dissolutions finalised in 2023 as well as, consolidation of funds, with five self-administered joining already existing umbrella funds as a cost containment measure. In addition, one merger was approved, and seven new funds were registered during the period under review.
- 5.3. Of the 965 funds, 482 were active, accounting for 50% of the industry's funds. The remaining 483 funds were inactive as they were either paid up or earmarked for dissolution. Of the total funds, 36 pension funds were defined benefit schemes whilst the remainder were defined contribution schemes.
- 5.4. Only 14 of the 965 registered funds conduct their own in-house fund administration. The remainder, which are insured (800) and self-administered funds (151), outsource the services to fund administrators.
- 5.5. There were 13 fund administrators registered with IPEC as at 31 December 2023. Five of the 13 administrators were independent administrators, while the remaining eight were registered life assurance companies conducting fund administration business.

5.6. The table below shows the allocation of pension funds managed by the respective administrators: -

Table 4: Distribution of Funds Administered by Type of Administration Model

Name of Administrator	31-Dec-23		31-Dec-22	
	Insured funds	Self-Administered funds	Insured funds	Self-Administered funds
CBZ Life	6	-	6	-
Fidelity Life	37	1	38	1
First Mutual Life	135	6	132	6
Old Mutual Life	347	19	347	19
Nyaradzo Life	-	3	-	3
ZB Life	108	1	108	1
Zimnat Life	166	3	166	3
Econet Life	1	2	2	-
Comarton Consultants	-	22	-	26
Bright Employee Benefits	-	27	-	40
Minerva Benefit Consulting	-	62	-	62
Capitol Insurance Broker	-	1	-	1
Zimbabwe Insurance Brokers	-	4	-	5
Stand-alone	-	14	-	14
Total	800	165	799	181

Fund Registrations

- 5.7. Seven pension funds were registered during the period under review namely; Buhera RDC, Gutu RDC, Nkayi RDC, Mberengwa Providence Fund, Lupane Local Board, Girls College and Econet Life Drawdown Fund.
- 5.8. Fund administrators and pension scheme sponsors should ensure that funds are fully registered before onboarding any new business and Principal Officers are required to ensure all funds have gone through the approval process prior to conducting any business.

Transfer of Fund Business

- 5.9. During the period under review, the Commission approved a total of five transfers. The transfers were to umbrella funds and are shown in the table below.

Table 5: Fund Transfers to Umbrella Fund

Pension Fund	From	To
GUD	Bright	Marsh Umbrella Fund
AAZ	Minerva	Minerva Umbrella Fund
CPL	Minerva	Minerva Umbrella Fund
CRP	Minerva	Minerva Umbrella Fund
EHPL	Minerva	Minerva Umbrella Fund

5.10. The Commission will continue to monitor the transfer of business between administrators to ensure compliance with the new Pension and Provident Funds Act and guideline on transfer of business.

Dissolutions

5.11. A total of 389 funds were earmarked for dissolution as of the reporting date, whilst 17 dissolutions were completed during the period under review. Whilst several funds have been earmarked for dissolution, the process is being protracted because of failure to trace some of the members for the funds in question.

Membership

5.12. The table below shows the distribution of members as at 31 December 2023 and 31 December 2022, respectively.

Table 6: Membership Classes as at 31 December 2023

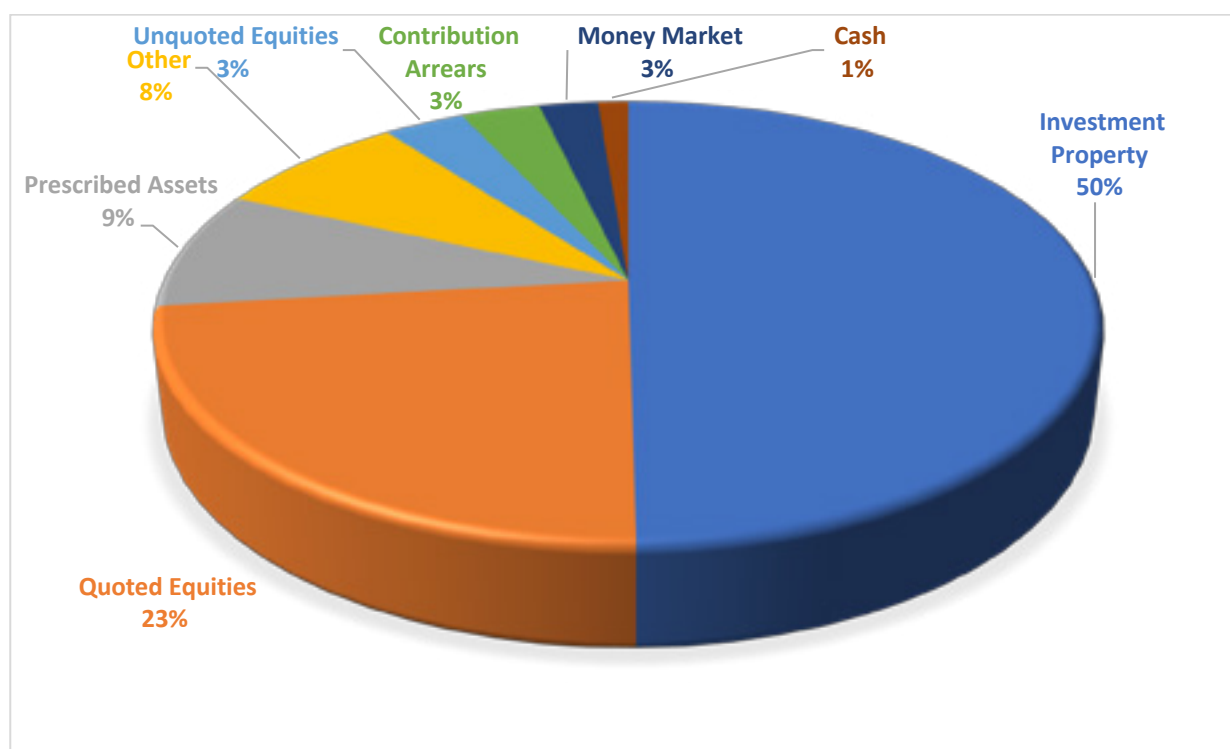
Membership Class	Insured Funds	Self-Administered Funds	Stand-Alone Funds	Total Q4 2023	Q4 2022
New Entrants	4,480	5,682	4,396	14,558	10,803
Active members (excluding new entrants)	120,010	99,963	147,340	367,313	329,710
Pensioners (Excluding beneficiaries)	7,735	5,264	22,445	35,444	35,136
Deferred Pensioners	218,866	38,225	154,203	411,294	406,544
Suspended Pensioners (Excluding beneficiaries)	3,886	4,292	6,103	14,281	11,971
Unclaimed benefits (number)	10,900	3,188	83,734	97,822	
Total Members excluding beneficiaries	365,877	156,614	418,221	940,712	908,636
Widows and Children (Pensioners)	467	4,107	14,399	18,973	17,165
Widows and Children (suspended Pensioners)	1,287	341	5,996	7,624	6,435
Total Number of beneficiaries	1,754	4,448	20,395	26,597	23,600
Total members including beneficiaries	367,631	161,062	438,616	967,309	932,236
Total Number of Exits	2,522	2,880	1,013	6,415	4,218

5.13. There was a 3.76% increase in total membership (including beneficiaries) from 932,236 to 967,309. This increase was mainly due to new entrants during the period under review.

6. Assets

6.1. The industry's total assets stood at ZW\$12.18 trillion, which was a nominal increase of 1000% from ZW\$1.1 trillion reported in December 2022. In US\$ terms, assets increased from US\$1.6 billion to US\$2 billion during the period under review.

6.2. The asset composition of the industry is as shown in the figure below:

Figure 1: Asset Composition

- 6.3. As shown above, the industry's assets were concentrated in investment properties and quoted equities, which constituted a combined position of 73% of the industry's total assets portfolio.
- 6.4. Investment property constituted 50% of total assets compared to 44% for the prior year. The increase in share of investment property is largely on account of revaluation gains.
- 6.5. The proportion of quoted equity investments to total assets decreased from 28% to 23%, notwithstanding the nominal increase of 801%, during the last quarter of 2023.
- 6.6. Investments in unquoted equities increased by 454% from ZW\$73 billion to ZW\$404 billion. However, there was a decrease of 38% in real terms despite the nominal increase. Its share to total assets declined from 7% to 3%. The Commission will continue to monitor the valuation of private equity investments to ensure consistency and comparability within the industry.
- 6.7. Prescribed assets amounted to ZW\$1.1 trillion, which constituted 9% of the industry's total assets. This was a nominal increase of 1325% from the prescribed assets investments of ZW\$73.84 billion, which constituted 7% of total assets reported as at 31 December 2022.
- 6.8. Notwithstanding the increase in prescribed assets ratio, the ratio is still below the regulator minimum of 20% and the industry is urged to invest from a pool of

instruments conferred prescribed asset status to meet the minimum prescribed threshold.

6.9. As at 31 December 2023, the industry had acquired 1,995 gold coins of varying denominations worth ZW\$28.25 billion. The table below shows the investment in gold coins by the industry: -

Table 7:Gold Coin Investments

Denomination	Insured	Self Admin	Standalone	Total
0.1Oz	-	2	20	22
0.25Oz		1	32	33
0.5Oz	9	35	2	46
1Oz	55	1,411	428	1,894
Number of coins	64	1,449	482	1,995
Value (ZW\$ billions)	0.87	20.94	6.43	28.25

6.10. The industry has an option to convert the gold coins to digital tokens. However as at the reporting date, no entity had exercised the option.

6.11. The industry acquired 4.99 million milligrams of the gold-backed digital tokens, which were valued at ZW\$2.12 billion as at the reporting date.

Table 8:Gold Backed Digital Tokens

Sector	Value (ZW\$ billions)	Tokens held (MG in millions)
Insured	0.05	0.13
Self-Admin	1.82	4.27
Standalone	0.25	0.59
Total	2.12	4.99

6.12. Pension funds are encouraged to invest in value preserving instruments, which can facilitate Person-to-Person (P2P) and Person-to-Business (P2B) transactions.

6.13. The gold backed digital tokens are tradable as a means of payment, used as a store of value and also bear prescribed asset status.

7. Income

7.1. The total income for the period under review was ZW\$10.49 trillion compared to ZW\$310.24 billion for the same period the previous year. Of the ZW\$10.49 trillion,

total income earned in foreign currency was US\$236.83 million, which is equivalent to ZW\$1.4 trillion, thus constituting 13% of the industry's total income.

- 7.2. The major source of income was fair value gains on investments, constituting 65% of total income, amounting to ZW\$6.83 trillion.
- 7.3. Contributions constituted 2% of total income with a total of ZW\$160 billion.

8. Expenditure

- 8.1. Total expenditure for the period under review was ZW\$117 billion. Of that amount, ZW\$73.6 billion, being 63% of expenses went towards the payment of benefits to members.
- 8.2. Total administrative expenses incurred were ZW\$30.3 billion and were driven by staff costs, asset management fees and administration fees, which collectively constituted 73.6% of the total administration expenses. The Commission will continue to enforce compliance with the Expenses Framework.
- 8.3. The expense ratios for all funds used in assessing compliance with the expenses framework are shown in annexure 9.

9. Forex Assets

- 9.1. Foreign currency-denominated assets increased by 445% from US\$193.31 million as at Q4 /2022 to US\$1.05 billion as at 31 December 2023.
- 9.2. The major asset classes were equities, investment property and prescribed assets, which constituted 54%, 27% and 8%, respectively.
- 9.3. This was compared to the major asset classes as at 31 December 2022, which were equities, prescribed assets and money market investments constituting 38%, 27% and 10% respectively.
- 9.4. As at the reporting date, 13 counters were trading on the VFEX where pension funds are also investing.
- 9.5. The holding of foreign currency-denominated assets helps in cushioning the assets from being eroded by inflation.
- 9.6. Pension funds should ensure that the income generated by foreign currency denominated assets is equitably allocated to members so that member benefits can improve.
- 9.7. Contribution arrears as at 31 December 2023 stood at US\$22.44 million, constituting 2.13% of the industry's foreign currency-denominated assets. The table below shows the age analysis for contribution arrears.

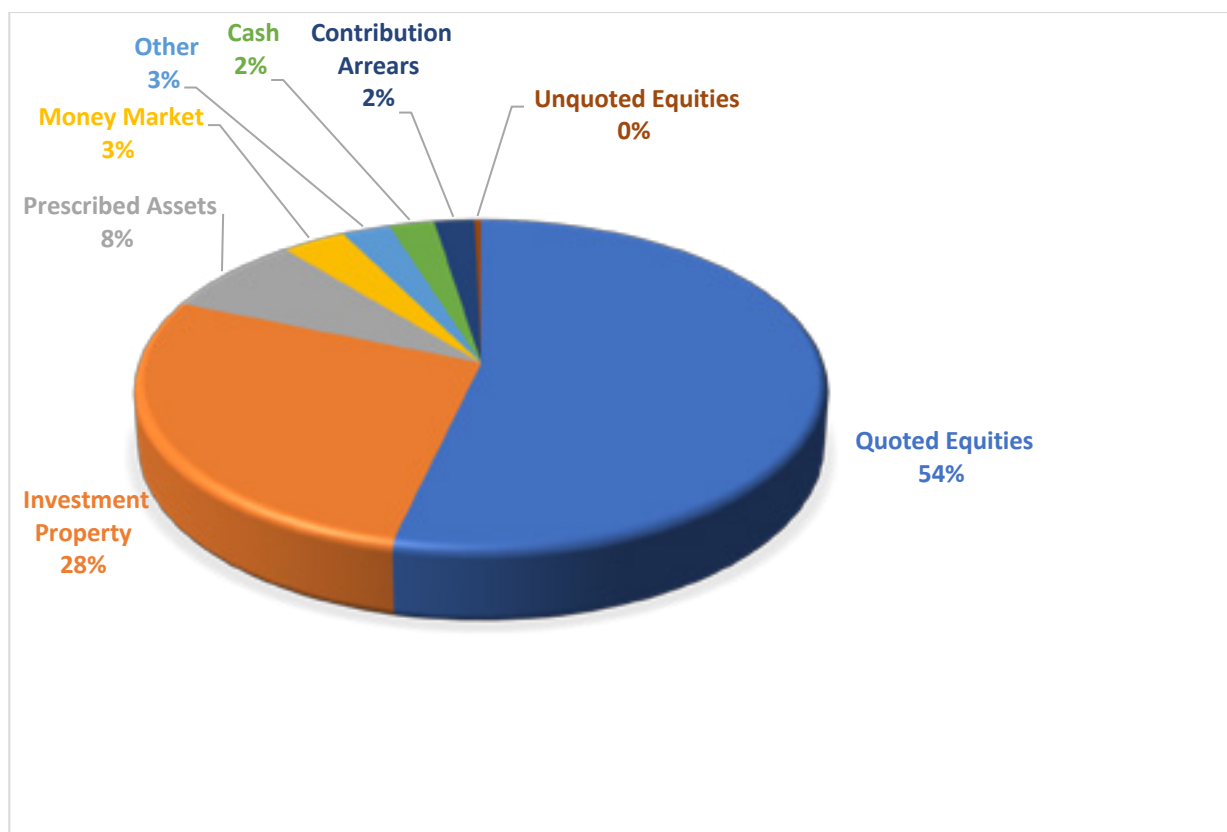
Table 9: Contribution Arrears Age Analysis

	Insured	Self-Administered	Stand-Alone	Total
30 days and below	591,152	2,615,391	1,963,442	5,239,619
between 31 days and 90 days	520,018	696,733	2,674,035	3,890,786
between 91 days and 180 days	68,657	2,145,163	2,269,363	2,615,556
181 days and above	175,611	311,292	8,411,302	8,898,205
Total at end of Reporting Period	1,355,438	5,768,579	15,318,144	22,442,161

9.8. When compared to the contribution arrears for the previous quarter there was a 53% increase from US\$14.7million. The increase in contribution arrears is sponsoring employers failing to remit contributions on time to the respective funds.

9.9. The Commission urges board of funds to seriously look into the matter and engage relevant sponsoring employers to ensure timeous remission of contributions.

9.10. The table below shows the asset composition in foreign currency business.

Figure 2: Foreign Currency Assets

9.11. As shown above, foreign currency-denominated assets of the industry were mainly invested in quoted equities, investment property and prescribed assets which collectively constituted 90% of total foreign currency denominated assets. The major investments are mainly VFEX counters, Eastern and Southern African Trade Fund (ESATF), Afrexim, Nedbank, Quilter Plc and Anglo America

10. Forex Income

10.1. Total forex income as at 31 December 2023 amounted to US\$236.83 million compared to US\$47.23 million as at 31 December 2022. This was a 401% increase from Q4/ 2022. The realised income amounted to \$US\$126.34 million.

10.2. Total forex benefits expenditure as at 31 December 2023 amounted to US\$48.92 million and total administrative expenditure amounted to US\$12.88 million, whilst the total expenditure as at 31 December 2023 amounted to US\$61.79 million

10.3. Total forex contributions as at 31 December 2023 amounted to US\$60.66 million.

10.4. The table below shows key forex business matrices: -

Table 10:Key Indicators

Indicator	US\$ (Millions)
Total Contributions	60.66
Total Income	236.83
Total benefits expenditure	48.92
Total Administrative Expenditure	12.88
Total expenditure	61.79
Total Assets	193.31

11. Pension Fund Administrators

11.1. Total income earned by fund administrators from fund administration business for the year was ZW\$140.67 billion compared to ZW\$11.58 billion in Q4/2022. Of that amount, forex income was US\$2.7 million, thus constituting 12% of total income earned. During the period under review, ten (10) out of the 13 administrators recorded some USD business.

11.2. Income from fund administration fees earned by administrators for services rendered was ZW\$31.04 billion, constituting **22%** of the total income. The table below shows the sources of income earned by administrators for the period under review.

Table 11:Sources of Income for Administrators

Source of income	ZW\$ 'millions'	USD - (ZW Equivalent in millions)	Total (ZW\$ millions)	%age of total income
Fair Value gains	47,601.11	-458.76	47,142.35	34%
Investment income	41,174.55	1,607.13	42,781.68	30%
Admin fees	19,724.23	11,317.97	31,042.20	22%
Guarantee fees	9,069.67	-	9,069.67	6%
Other Income	4,330.55	299.03	4,629.58	3%
Commission	1,322.61	2,518.40	3,841.02	3%
Actuarial Fees	411.53	656.03	1,067.57	1%
Profit on Disposal	729.4	-	729.4	1%
Ill Health Fees	24.12	316.27	340.38	0.24%
Rentals	33.62	-	33.62	0.02%
Total	124,421.44	16,256.06	140,677.50	

11.3. Total expenditure incurred as at 31 December 2023 was ZW\$135.33 billion, which mainly comprised salaries and wages, administration expenses, rentals and commissions, resulting in a profit of ZW\$5.35 billion. The table below shows the major cost drivers and their proportion to the total expenses.

Table 12: Major Cost Drivers for Fund Administrators

Expense Item	Amount (ZW\$)	% of Total Expenses
Salaries and Wages	66,615,783,551	49.2%
Administration Expenses	31,381,645,813	23.2%
Rentals	8,173,249,751	6.0%
Commission	6,006,578,613	4.4%
Advertising and promotions	4,551,586,944	3.4%

11.4. Of the administration fees earned, 36% was transacted in foreign currency. The table below shows the administration fees as a component of total income for each administrator and the extent to which such fees are in forex.

Table 13: Administrators' Administration Fees

Administrator	Total Income	Administration Fees		Proportion of Forex component to Total Admin Fees
		Combined USD + ZW\$	USD Converted (ZW\$)	
Old Mutual	57,680,751,851	12,228,565,302	2,878,221,871	24%
Zimnat	50,392,464,685	716,435,349	319,677,499	45%
Minerva	14,341,889,816	9,993,784,670	5,070,973,294	51%
Fidelity	5,729,771,136	63,129,723	10,643,782	17%
First Mutual Life	4,800,924,010	2,723,526,027	969,935,271	36%
Bright Employee Benefits	4,031,710,509	2,603,903,574	927,768,025	36%
Comarton	3,093,802,666	2,364,373,572	951,570,033	40%
ZB Life	469,046,755	247,292,929	156,987,032	63%
CBZ	68,497,985	32,548,327	21,582,575	66%
Nyaradzo	52,178,325	52,178,325	-	0%
Econet	10,608,604	10,608,604	10,608,604	100%
Zimbabwe Insurance Brokers	5,855,047	5,855,047		0%
Totals	140,677,501,388.46	31,042,201,449.62	11,317,967,987.19	

11.5. Boards of Pension funds and administrators are reminded to ensure compliance with service level agreements and expense framework, particularly in relation to the type of currency going towards meeting administration fees.

Table 14: Administrators' Forex Business

Administrator	Total Income (USD)	Proportion of Forex Component to Total Income	US\$ Admin Fee Ratios
Bright	273,411.03	41%	10%
CBZ	3,535.39	32%	5%
Econet	1,737.77	100%	5%
Fidelity	1,743.53	0.002%	104%
FML	158,882.78	20%	10%
Minerva	1,313,610.00	56%	6%
Nyaradzo	-	0%	0%
OM	471,474.64	5%	4%
ZB Life	29,669.42	39%	6%
ZIB	-	0%	0%
Zimnat	252,927.65	3%	8%
Comarton	155,874.41	31%	5%

11.6. Total assets for independent administrators, excluding life assurers, amounted to ZW\$3.13 billion and US\$37,480 with only property, equities, debtors and cash denominated in US\$.

11.7. The breakdown of assets for independent administrators is as shown in the following table:

Table 15: Independent Administrators' Asset Distribution

Asset class	ZWL	USD (Converted)	% of Total assets
Trade receivables	1,601,284,031.12	21,366,529.10	48%
Bank and cash balances	889,470,100.41	9,157,083.90	26%
Equities	358,900,412.55	60,925,131.55	11%
Loans	101,672,876.26	0.00	3%
Property and equipment	351,814,191.08	137,356,258.50	10%
Prepayments	19,983,152.98	0.00	1%
Other	34,890,546.91	0.00	1%
Total	3,358,015,311.31	228,805,003.05	

11.8. As shown on the above table, the major asset class was receivables, which are made up of rent and trade debtors.

Market Conduct

12. Unclaimed Benefits

- 12.1. Unclaimed benefits as at 31 December 2023 amounted to ZW\$41 billion (US\$7m) compared to ZW\$7billion (US\$11m) reported as at 31 December 2022, representing a nominal increase of 500% and 36% decline in real value .
- 12.2. Additionally, the total membership with unclaimed benefits decreased by 12.82% to 97,241 members, compared to 111,542 members as at December 31, 2022.
- 12.3. The nominal increase in the amount of unclaimed benefits is attributed to bonus declarations.
- 12.4. The diagram below illustrates the trend of unclaimed benefits from 31 December 2022, to 31 December 2023.

Figure 3: Trend of Unclaimed Benefits

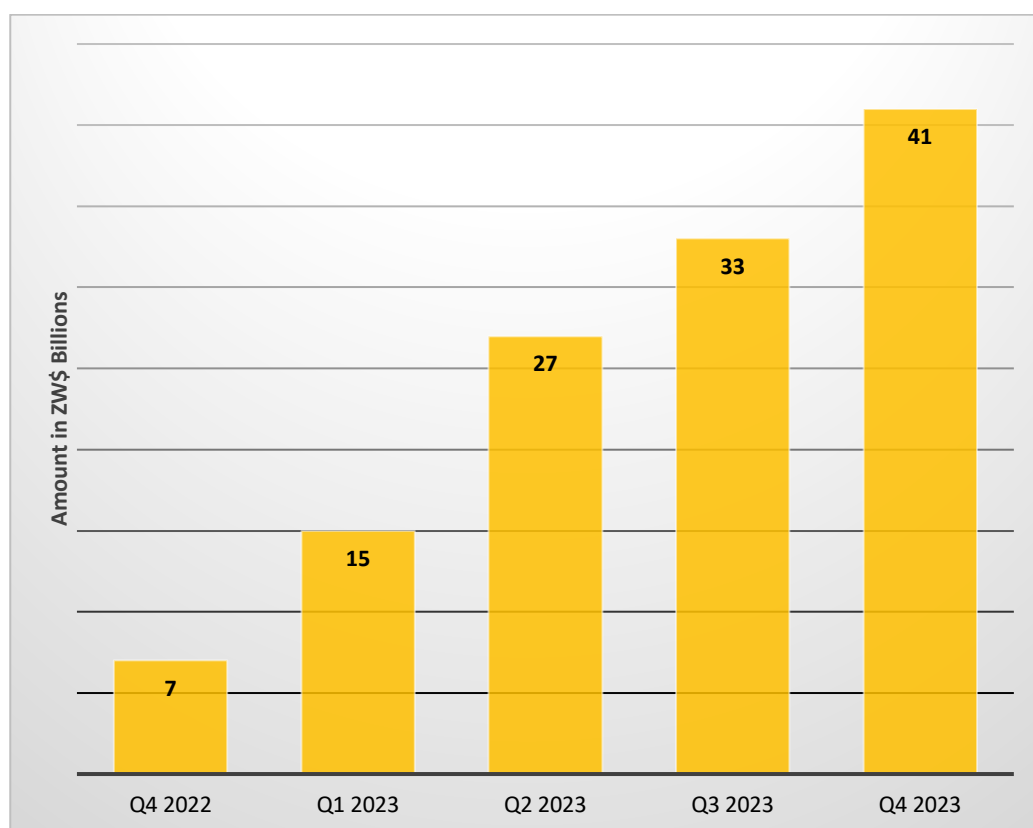
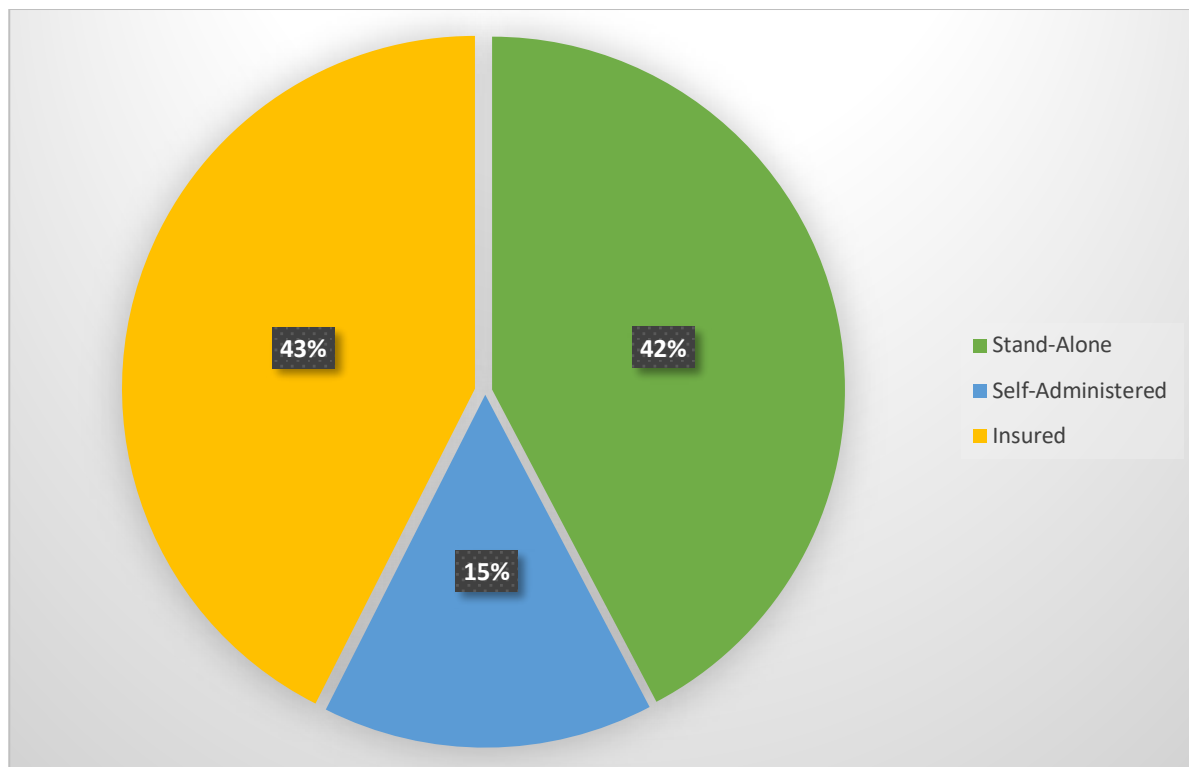


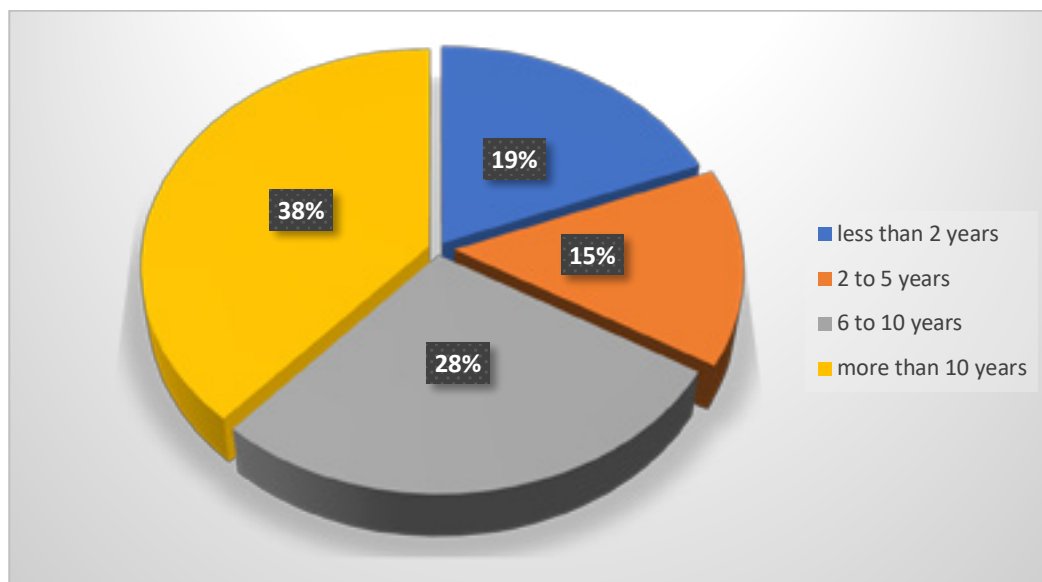
Figure 4: Distribution of Unclaimed Benefits by Model of Administration



12.5. Insured funds had the highest value of unclaimed benefits, accounting for 43% of total industry unclaimed benefits.

12.6. The age analysis for unclaimed benefits revealed that unclaimed benefits aged over 10 years constituted 38% of the total liability for unclaimed benefits. Additionally, members with unclaimed benefits exceeding ten years accounted for 85.8% of the total unclaimed benefits membership. Administrators are required to remit such benefits to the Guardian Fund as required and the Commission will be enforcing the requirement going forward.

Figure 5: Unclaimed Benefits Age Analysis



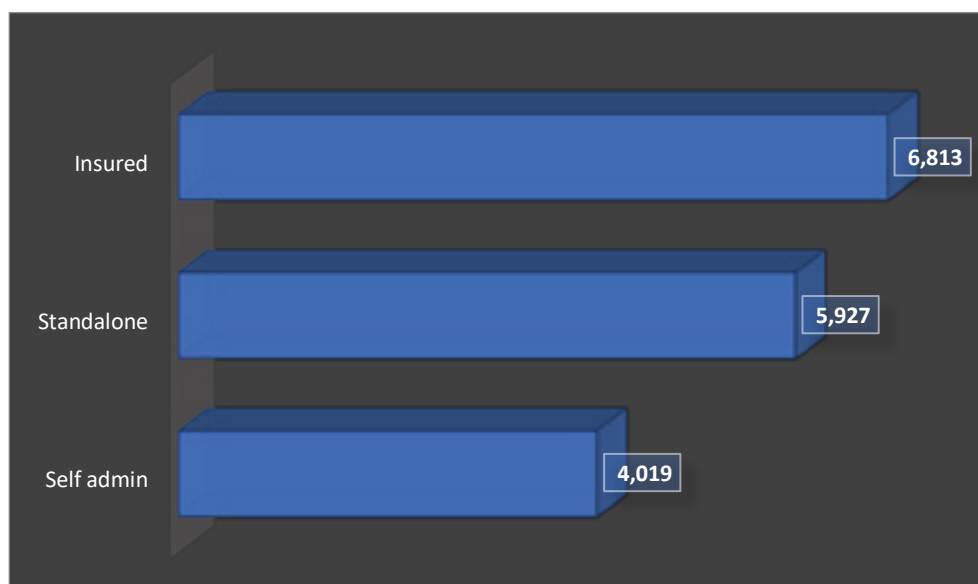
12.7. The industry is reminded to remit unclaimed benefits which are over 5 years to The Guardian Fund.

13. Suspended Pensioners

13.1. The benefits liability for suspended pensioners was ZW\$19.82 billion (US\$3.25 million) compared to ZW\$1.5 billion (US\$2.2million) as at 31 December 2022

13.2. Suspended pensioners increased from 12,361 to 17,377 between December 2022 and December 2023.

13.3. The graph below shows the distribution of suspended pensioners' membership by type of fund.

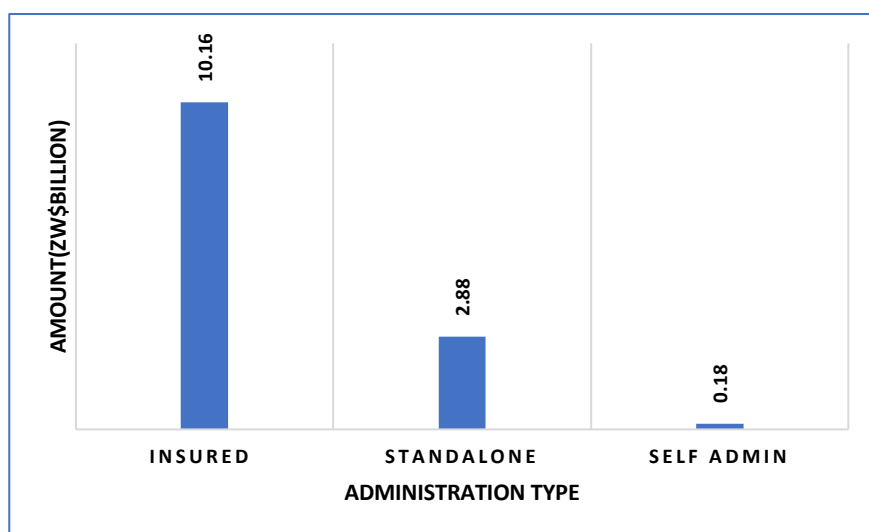
Figure 6:Suspended Members Across all the Administration Models

13.4. Insured funds had the highest number of suspended members, followed by Stand-alone funds. Self-administered funds had the least number as compared to Stand-alone and Insured Funds.

13.5. The Commission urges the industry to trace all members with suspended records to ensure submission of existence certificates.

14. Non- resident Pensioners

The figure below shows the cumulative outstanding non-resident amounts as at 31 December 2023.

Figure 7:Cumulative Benefits due to Non-Resident Pensioners

14.1. As at 31 December 2023, the total cumulative amount due to 3,241 non-resident pensioners was ZW\$13.22billion (US\$2.17m). This was an increase from ZW\$0.44

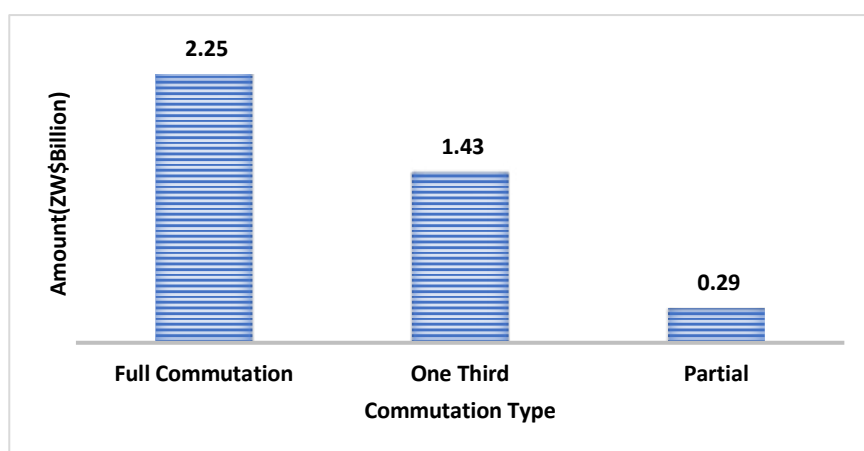
billion (US\$0.66million) owed to 3,662 members as at 31 December 2022 that translated to 229% increase in the US\$ amount owed to non-resident pensioners.

15. Commutations

15.1. The total amount commuted during the period under review was ZW\$4 billion, translating to US\$0.65million

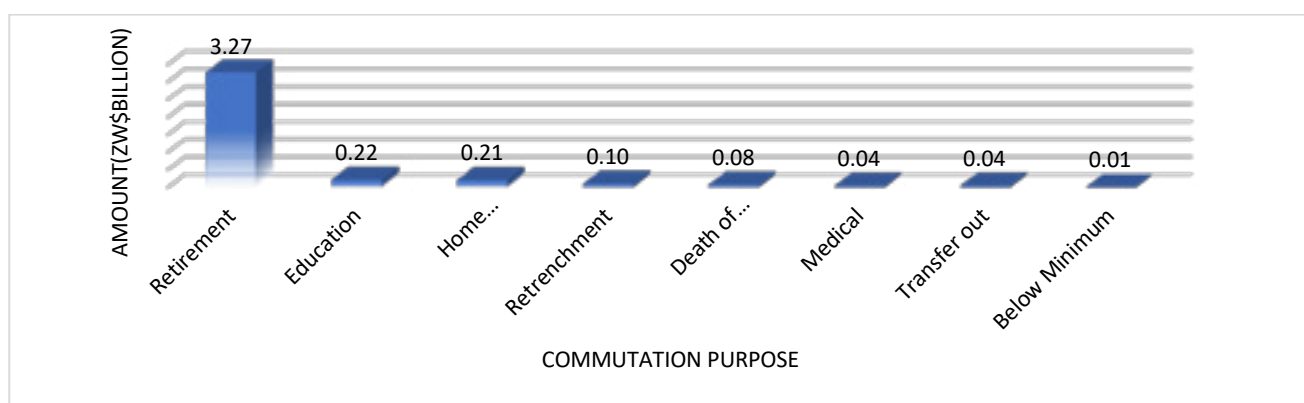
15.2. The industry distribution of the commutations by type is shown in the figure below:

Figure 8: Distribution of Commutations by Type



15.3. As shown above full commutations constituted the biggest portion of payments as 31 December 2023.

Figure 9: Distribution of Commutation by Purpose

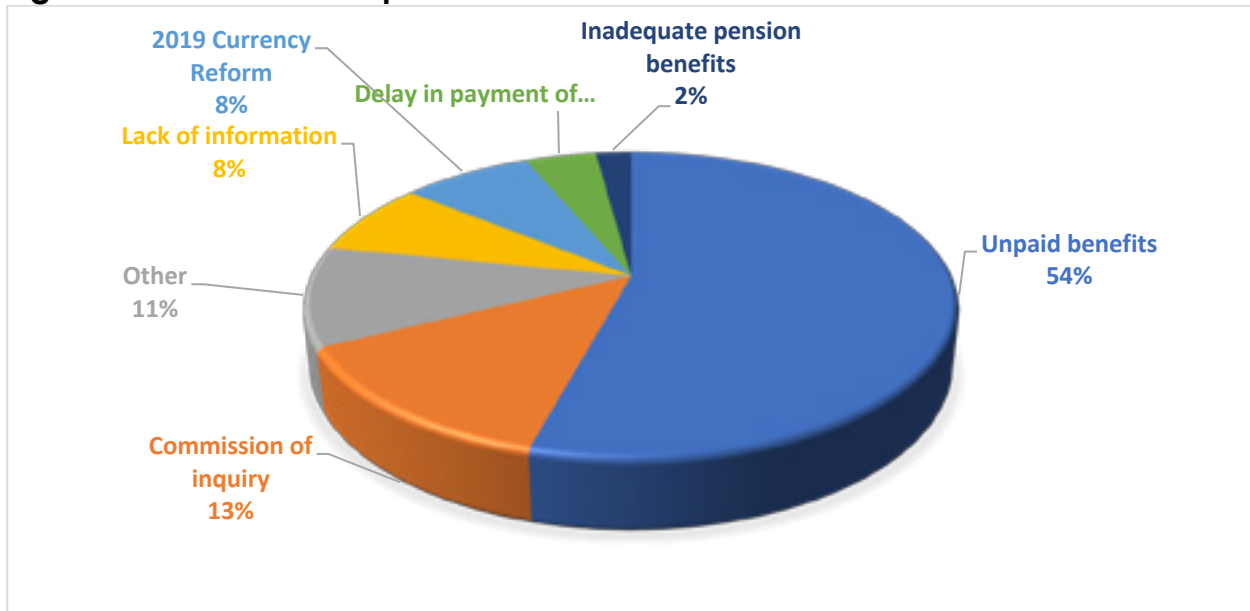


15.4. The top three reasons for commutations in Q4/2023 were retirement, education, and home improvement.

16. Complaints

16.1. During the year ended 31 December 2023, the Commission recorded 142 complaints related to pensions. The table and the graph below show the distribution complaints by nature.

Figure 10: Nature of Complaints



16.2. Out of all the complaints received, the largest category, with a total of 77 complaints, was related to unpaid pension benefits and it accounted for 54% of the overall complaints.

17. Anti-Money Laundering and Combating the Financing of Terrorism and Proliferation Financing

Risk-Based Approach to AML/CFT Obligations

- 17.1. A total of 10 of the 14 stand-alone pension funds and all fund administrators submitted their AML/CFT quarterly returns. Only 4 pension funds did not submit their returns.
- 17.2. The vulnerability of pension products remains low as contributions are deducted from source, the employer, through payroll deductions. Additional voluntary contributions are also deducted from source. Individual pension products are not offered under occupational pension schemes but by life insurance companies.
- 17.3. Transactions are predominantly electronic as contributions are received through electronic channels.
- 17.4. In terms of customer risk, 8 pension funds indicated that they have domestic corporate clients, who are the sponsoring employers under their administration. The remainder of the funds were direct employer schemes. Only 2 pensions funds and 1 fund administrator identified high risk clients such as politically exposed persons, non-resident clients and non-governmental organisations. The Commission would like to underscore the importance of risk rating customers for purposes of monitoring money laundering and terrorist financing risks.
- 17.5. Simplified customer due diligence measures should, however, be applied for pension funds products due to the low money laundering risk they are exposed to.
- 17.6. An assessment of the control measures in place as of 31 December 2023 revealed the following:
- a) **Board and Senior Management Oversight:** Pension funds have trustees in place who are involved approval of AML related policies. However, no evidence was submitted by pension funds to show that AML matters were being discussed in trustees' meetings during the period under review. Trustees are ultimately responsible for setting the compliance culture for the fund.
 - b) **AML/CFT Policies and Procedures:** 4 pension funds submitted board approved AML/CFT policies, whilst 9 funds did not submit policies for review. Policies and procedure manuals are a statutory requirement; therefore, all pension funds must comply.

- c) **AML/CFT Knowledge and Training:** A total of 7 pension funds have conducted staff and management training, and also participated in the training offered by the Commission. Two (2) of the 3 fund administrators conducted training or participated in IPEC training. Pension funds offering inhouse training should ensure that training content is reviewed on a regular basis so that it remains current and appropriate.
- d) **Filing of Suspicious Transaction Reports (STRs):** No STRs were filed from the subsector during the period under review. Pension funds, however, have been filing cash transaction reports with the Financial Intelligence Unit. The Commission will continue to raise awareness on filing of STRs and assist with red flags applicable in the sector to help guide staff. Entities are encouraged to refer to red flags cited in the AML/CFT/CPF industry guideline.

17.7. Pension funds are heavily invested in properties and realise income from rentals. With the real estate sector considered as a risky sector in terms of money laundering, pension funds have demonstrated awareness of possible ML risks associated with real estate and are applying customer due diligence on their tenants. Customer due diligence measures are also being implemented for once off high value property transactions, and other transactions of US\$5,000 or more.

17.8. Pension funds should be aware that ML, TF and PF risks are dynamic, therefore, entities should keep refreshing their institutional risk assessment on a regular basis to ensure that the controls in place are still relevant. The risk assessment reports should be submitted annually to the Commission for analysis.



Annexures

Annexure 1: Consolidated Industry Statement of Comprehensive Income for the period ending 31 December 2023

	Insured Funds	Self-Administered Funds	Stand Alone Funds	Total Q4 2023
Income				
Year to date Contributions (Including arrears)	145,954,086,813	301,799,249,510	315,626,247,005	763,379,583,328
Interest on contribution arrears	4,888,087,377	-	85,986,370,095	90,874,457,472
Transfer from other funds	28,611,751,637	10,228,032,601	1,903,107	38,841,687,345
Transfer to other funds	(26,450,499,783)	(14,642,054,213)	(75,939,004)	(41,168,492,999)
Rental Income	15,642,707,947	21,022,862,838	112,389,119,450	149,054,690,236
Interest from Investments	97,248,523,385	33,239,175,592	18,723,415,287	149,211,114,264
Dividends from investments	39,420,830,317	39,413,384,143	17,721,531,471	96,555,745,932
GLA Premiums received	9,381,288,843	1,121,915,978	336,300,285	10,839,505,107
GLA Premiums (paid)	(11,391,656,539)	(3,954,842,079)	(140,055,585)	(15,486,554,203)
Profit/ (losses) on disposals investments	66,413,537,973	66,202,405,002	8,466,600,492	141,082,543,467
Fair value gains (Losses)	2,908,602,652,446	2,323,248,740,707	3,214,133,239,966	8,445,984,633,119
Other income: 1) Specify	10,748,818,350	116,440,038,053	70,769,937,337	197,958,793,741
Other income: 2) Specify	-	257,956,302,225	86,362,060,453	344,318,362,678
Other income: 3) Specify	-	117,477,548,727	223,823,160	117,701,371,887
Total Income	3,289,070,128,768	3,269,552,759,084	3,930,524,553,519	10,489,147,441,372
EXPENDITURE				
Benefits				
Year-to-date pension benefits	23,234,987,966	26,004,482,153	91,061,902,281	140,301,372,399
Retrenchments and retirements	5,619,450,043	27,099,535,857	5,899,569,793	38,618,555,693
Resignations, dismissals	29,351,733,039	31,705,804,107	5,009,941,100	66,067,478,247
Full commutations	8,579,635,041	2,303,209,022	1,699,800,438	12,582,644,501
Part commutations paid after initial 1/3 commutations or refund	7,326,630	-	970,800,053	978,126,683
Death benefits	3,482,987,430	4,657,584,256	593,023,101	8,733,594,787
Disability benefits	39,729,363	50,640,446	-	90,369,809
GLA Benefits	1,411,162,282	2,313,482,162	77,273,981	3,801,918,425
Other Benefits	-	164,961,163	596,053,611	761,014,774
Other Benefits:2) Specify	-	7,540,224,236	24,616,107	7,564,840,343
Other Benefits:3) Specify	-	-	16,257,784	16,257,784
Total Benefits	71,727,011,794	101,839,923,403	105,949,238,249	279,516,173,446
Administrative Expenses				
Commissions/Deductions to NEC	-	1,975,005,396	24,036,803	1,999,042,199
Staff costs	1,260,671,474	1,325,471,229	29,913,472,277	32,499,614,980
Admin Expenses	8,936,533,907	12,917,122,685		21,853,656,592
Investment Management Expenses	41,977,530,589	10,883,596,835	1,304,802,989	54,165,930,414
Actuarial fees	-	2,056,029,207	531,893,264	2,587,922,471
Audit fees	-	2,074,253,688	566,928,234	2,641,181,922
Legal fees	2,332,271	227,204,323	448,180,412	677,717,007
Board Expenses	111,662,014	804,115,121	4,126,430,552	5,042,207,687
IPEC Levies	2,257,567,999	5,483,649,044	1,973,060,812	9,714,277,855
Bank Charges	695,960	1,455,176,381	3,382,660,511	4,838,532,852
Sundry expenses	83,476,353	5,004,073,004	182,623,130	5,270,172,487
Subscriptions i.e. ZAPF	1,841,521,115	1,408,059,774	40,564,432	3,290,145,321
Property Expenses	-	3,547,927,573	16,521,962,553	20,069,890,126

	Insured Funds	Self-Administered Funds	Stand Alone Funds	Total Q4 2023
Transfer to reserves	-	683,080,832	33,132,017,084	33,815,097,916
Asset devaluation expenses (depreciation and amortisation)	-	(4,197,452,021)	778,859,231	(3,418,592,790)
Provision for bad debts	134,159,504	35,574,260	81,806,862,191	81,976,595,955
Other Expenses:1) Specify	359,078,677	684,073,728	909,165,352	1,952,317,757
Other Expenses:2) Specify	154,968,751	1,978,252,408	1,480,200,898	3,613,422,056
Other Expenses:3) Specify	-	898,547,648	63,077,172	961,624,820
Total Administrative Expenditure	57,120,198,614	49,243,761,117	177,186,797,897	283,550,757,628
Total Expenditure	128,847,210,408	151,083,684,519	283,136,036,146	563,066,931,074
Surplus / (Deficit)	3,160,222,918,360	3,118,469,074,565	3,647,388,517,373	9,926,080,510,298

Annexure 2: Consolidated Industry Statement of Financial Position as at 31 December 2023

	Insured Funds	Self-Administered Funds	Standalone Funds	Total Q4 2023
ASSETS				
Operating Assets				
Property	-	12,676,750,509	36,342,500,249	49,019,250,758
Motor vehicles	-	82,413,755	4,091,867,885	4,174,281,640
Computer Hardware and Software	-	359,415	638,764,575	639,123,990
Office furniture and fittings	-	230,547	233,074,477	233,305,024
Other Operating Assets: (Specify)	-	1,742,665	33,469,773	35,212,438
Other Operating Assets: (Specify)	-	-	-	-
Other Operating Assets: (Specify)	-	-	-	-
Total Operating Assets	-	12,761,496,891	41,339,676,959	54,101,173,850
Investment Assets (Non- Current)				-
Investment Property	1,970,216,732,323	1,147,115,032,057	2,946,629,427,150	6,063,961,191,529
Equities - Quoted	992,872,028,842	1,140,561,819,242	711,736,345,533	2,845,170,193,617
- Unquoted	279,243,868,473	55,226,567,345	69,794,085,656	404,264,521,474
Prescribed Assets - Government Stock	6,394,125,634	36,326,435,478	14,892	42,720,576,004
- Other prescribed assets	356,258,990,547	499,164,692,219	119,270,865,148	974,694,547,914
Fixed interest securities e.g. bonds and debentures	40,643,995,733	17,639,060,992	12,313,720,150	70,596,776,875
Loans and/or Mortgages on Property (excluding staff)	4,294,152	128,288,869	5,276,766,408	5,409,349,429
Staff loans and Mortgages	-	4,256,040,191	4,804,912,896	9,060,953,087
Long-term deposits	8,404,936	2,873,330,228	13,907,246,950	16,788,982,114
Other non-current assets :(Specify)	717,367,716	247,680,641,034	88,536,047,853	336,934,056,603
Other non-current assets :(Specify)	-	255,429,239,362	7,022,688,622	262,451,927,984
Other non-current assets :(Specify)	-	9,772,815,690	12,463,920	9,785,279,610
Total non-current investment assets	3,646,359,808,356	3,416,173,962,706	3,979,304,585,178	11,041,838,356,239
Investment Assets (Current)				-
Prescribed Assets - Government Stock	-	10,495,821,544	378,462,112	10,874,283,656
- Other prescribed assets	7,186,544	1,017,152,480	22,982,397,611	24,006,736,635
Fixed interest securities	-	4,910,741,185	531,377,334	5,442,118,519
Cash at Bank	66,368,915,546	57,627,835,308	28,699,264,094	152,696,014,948
Money Market investments	88,260,861,322	137,771,389,187	67,601,844,637	293,634,095,146
Staff loans	-	18,287,301	3,527,695,481	3,545,982,782
Other short-term loans	-	14,633,020	19,264,660,907	19,279,293,927
Dividends and interest receivable	-	989,015,503	820,884,150	1,809,899,653
Other current assets(Consumable Stock)	-	48,482,666,621	10,885,470,123	59,368,136,744
Other current assets (Specify)	-	54,035,420,751	14,700,176,181	68,735,596,932
Other current assets(Specify)	-	6,817,632,435	-	6,817,632,435
Total current investment assets	154,636,963,412	322,180,595,335	169,392,232,630	646,209,791,378
Contribution arrears	40,623,793,855	65,718,509,963	289,281,050,051	395,623,353,869
Rental arrears (Age analysis on Debtors form)	47,181,124	4,079,628,565	37,996,005,445	42,122,815,134
TOTAL ASSETS	3,841,667,746,747	3,820,914,193,460	4,517,313,550,263	12,179,895,490,470

	Insured Funds	Self-Administered Funds	Standalone Funds	Total Q4 2023
LIABILITIES				
Reserves: Active members	3,319,345,437,958	1,040,552,585,281	636,168,909,542	4,996,066,932,781
Reserves: Deferred pensioners	668,945,667,695	5,231,114,807	183,801,366,673	857,978,149,176
Reserves: Unclaimed benefits	13,767,689,026	7,211,379,984	7,815,516,965	28,794,585,975
Other Reserves: Specify	2,430,241,241	(2,806,399,158)	450,096,995,373	449,720,837,457
Provisions: Withdrawals	706,443,678	1,468,156,454	277,565,134	2,452,165,266
Provisions: Contribution arrears	-	621,322,483	79,386,822,912	80,008,145,395
Provisions: Other Bad debts	-	69,492,180	3,256,312	72,748,492
Provisions: Leave Pay	-	113,892,854	4,274,835,494	4,388,728,348
Provisions: Rental arrears	-	51,019,548	6,625,460,556	6,676,480,104
Other Provisions: Specify	36,942,546	8,290,192,167	575,312,392	8,902,447,105
Other Provisions: Specify	-	5,442,560,130	49,044,215,955	54,486,776,085
Other Provisions: Specify	-	7,917,518,046	19,167,979,961	27,085,498,007
Arrear pension benefits	999,951	17,319,208	6,786,810,002	6,805,129,161
Sundry Creditors	65,339,476	13,308,624,214	25,197,414,485	38,571,378,175
Other Creditors (specify)	-	760,240,999	15,323,693,429	16,083,934,428
TOTAL LIABILITIES	4,005,298,761,572	1,089,543,708,292	1,827,718,163,466	6,922,560,633,330
NET ASSETS	(163,631,014,825)	2,731,370,485,168	2,689,595,386,797	5,257,334,857,139



Pensions Sector Report

for the Year Ended 31 December 2023

160 Rhodesville Avenue, Greendale, Harare Tel: (242) 443358/443361/443322
Cell: 0772 154 281-4 WhatsApp: 0772 154 281
Email: enquiry@ipec.co.zw | Website: www.ipec.co.zw